when a son is born in the family, he acquires an interest in the property jointly held by the family. Today Hindu succession Act 2005 is applicable to all male and female members of a HUF.

Characteristics

The main characteristics of Joint Hindu Family Business are given below:

i. Governed by Hindu Law

The business of the Joint Hindu Family is controlled and managed under the Hindu law.

ii. Management

All the affairs of a Joint Hindu Family are controlled and managed by one person who is known as 'Karta' or 'Manager'. The Karta is the senior most male member of the family. The members of the family have full faith and confidence in Karta. Only Karta is entitled to deal with outsiders. But other members can deal with outsiders only with the permission of Karta.

iii. Membership by Birth

The membership of the family can be acquired only by birth. As soon as a child is born in the family, that child becomes a member. Membership requires no consent or agreement.

iv. Liability

Except the Karta, the liability of all other members is limited to their shares in the business. The amount of debt can be recovered from his personal property also.

v. Permanent Existence

The death, lunacy or insolvency of any member of the family does not affect the existence of the business of Joint Hindu Family. The family goes on doing its business.

vi. Implied Authority of Karta

In a joint family firm, only Karta has the implied authority to enter into a contract for debts and pledge the property of the firm for the ordinary purpose of the businesses of the firm.

vii. Minor also a co-parcener

In a Joint Hindu Family firm even a new born baby can be a co-parcener.

viii. Dissolution

The Joint Hindu Family business can be dissolved only at the will of all the members of the family. Any single member has no right to get the business dissolved.



5.02 Meaning and Definition of Partnership

Introduction

Partnership form of organisation is an extension of the sole proprietorship. It has already been explained that a sole proprietary form of organisation suffers from several drawbacks such as limited capital, limited managerial ability, concentrated risk and less chances for expansion and growth etc. With the result, the sole trader is compelled to seek the co-operation of others so that he can meet the changing situations effectively. Generally when a sole trader finds it difficult to handle the problems of growth

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